

Kaduna Agro Processing Limited

Minutes of the Meeting of the Board of Directors

Held at the registered office, Kaduna, on Thursday 17 October 2024 at 10:00 | Classification: Confidential

Present: Alhaji Suleiman Bako (Chairman); Mrs Chinyere Okonkwo (Managing Director); Mr Tunde Adeyemi (Executive Director, Operations); Dr Halima Yusuf (Independent Non-Executive); Mr Emeka Nwosu (Non-Executive); Mrs Folasade Bello (Independent Non-Executive).

In attendance: Mr Ibrahim Sani (Company Secretary); Ms Grace Etim (Chief Financial Officer).

Apologies: Mr Peter Danjuma (Non-Executive).

1. Quorum and declarations

The Chairman confirmed a quorum. Mr Nwosu declared an interest in item 5, being a director of a company shortlisted for the haulage contract, and withdrew for that item.

2. Minutes of the previous meeting

The minutes of the meeting held on 11 July 2024 were approved as a correct record.

3. Managing Director's report

Mrs Okonkwo reported that throughput for the nine months to September stood at 198,000 tonnes, ahead of budget. She noted that the Zaria second line had operated above nameplate capacity for two consecutive months. She drew the Board's attention to the extension of receivable days, which she attributed to terms granted to distributors during the first-half pricing transition, and confirmed a recovery programme had been initiated with weekly reporting to the Executive Committee.

Dr Yusuf asked whether the receivables position reflected credit quality deterioration or terms. **Ms Etim** responded that ageing analysis showed the movement was concentrated in the 30-60 day bucket among distributors with unblemished payment histories, and that provisioning had not been increased.

4. Energy costs and captive generation

Mr Adeyemi presented the feasibility study on captive gas generation at Kaduna. Capital outlay was estimated at NGN 1.9 billion with a payback of thirty-one months at current tariffs.

Mrs Bello questioned the sensitivity of the payback to gas pricing and asked that the study be re-run at a gas price twenty-five per cent above the base case. **Mr Adeyemi** undertook to provide this at the January meeting.

The Chairman observed that the Board should not commit capital to captive generation while the Ogbomoso commissioning remained outstanding, and proposed the decision be deferred. This was agreed.

5. Haulage contract award

Mr Nwosu withdrew.

Mr Adeyemi reported that four bidders had been evaluated for the three-year national haulage contract with an estimated value of NGN 840 million. The Management Procurement Committee recommended the second-lowest bidder on the basis of fleet age and demonstrated capacity in the North West.

Dr Yusuf asked why the lowest bidder had not been recommended. **Mr Adeyemi** stated that the lowest bidder's fleet averaged eleven years and it had no depot presence north of Ilorin.

The Board approved the recommendation. *Mr Nwosu rejoined.*

6. Network consolidation

Mrs Okonkwo presented an analysis of the seven lowest-utilisation distribution points. She recommended closure of three and conversion of four to agent-operated collection points.

Mr Nwosu cautioned that closures in Borno and Adamawa carried reputational considerations given the Company's public commitments on North East presence. **The Chairman** agreed and directed that no closure proceed in those states without a further paper addressing community impact.

The Board approved closure of the three locations outside the North East and deferred the remainder.

7. Any other business

Mr Sani reminded the Board that three directors were due for re-election at the next Annual General Meeting.

8. Date of next meeting

Thursday 23 January 2025 at 10:00. The meeting closed at 13:40.